

Talking about trade: more tariff uncertainty

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Key themes in Australian and global trade.



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The Global View

The global economy enters 2026 with strength and vitality. Not only is US growth expected to remain

above par amid headwinds, but Asia is showing broad-based momentum while Europe and the UK hold around trend.

Tariff risks remain but are receding somewhat. The US Supreme Court have ruled the tariffs imposed under the International Emergency Economic Powers Act (IEEPA) are illegal. The decision restricts one of Trump's most widely used weapons – his ability to take sweeping unilateral action (i.e. act without Congressional approval). The US Administration will look to exploit other legal avenues to expand tariffs when the Section 122 duties expire, but the path will be complicated not only legally but also politically, given relatively poor support for tariffs in the US.

Australian Trade

In Australia, ahead of the official Balance of Payments release on 3 March, the latest available figures point to strong gains for exports and imports in Q4.

In the last twelve months, however, the AUD has appreciated by around 7% in real effective terms. Historical relationships imply that this gain will have a negative effect on net exports. The RBA's estimates suggest manufacturing goods exports and services trade will be impacted the most.

Most major economies saw their exports to the US shrink in 2025, but Australia's exports increased. Since all countries are now under the same tariff rate, Australia will lose its relative advantage in the US export market for at least the next 150 days.

Australia and the EU are finalizing a Free Trade Agreement (FTA) after years of negotiation. Australian exports to the EU are worth around 1% of GDP. Even if the FTA successfully lifts goods outflows, the economic impact for Australia's growth is likely to be limited.

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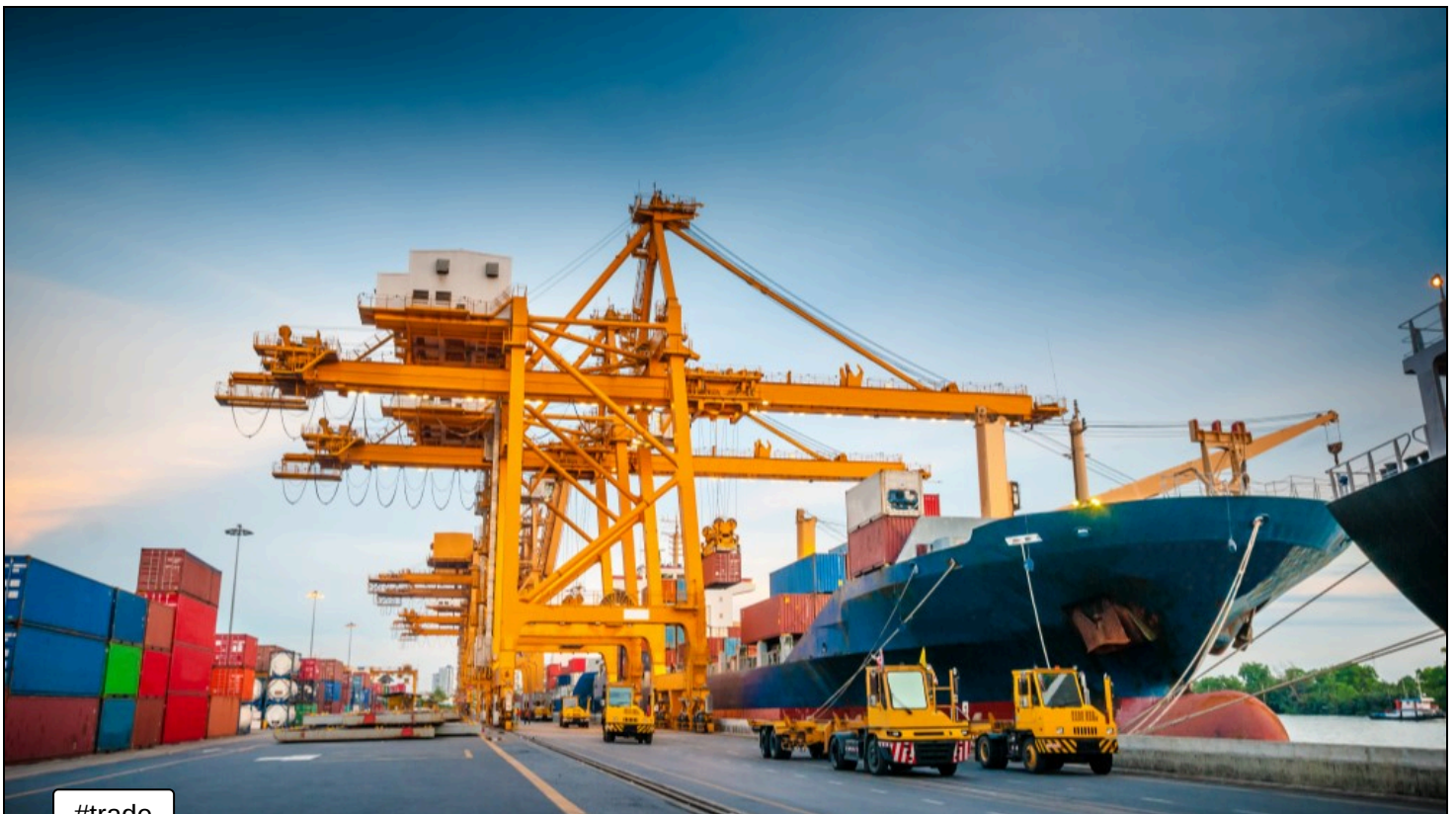


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